

inquiries on their credit report, because those inquiries may be a sign that they're applying for more credit than they can handle.

Q: How can I fix my credit report if I've been the victim of fraud?

A: **Identity theft** is the fastest growing crime in the country. It's easier than ever for thieves and con artists to get hold of your personal information, including your Social Security number, driver's license number, and even your PIN codes. Using this information, they can pass themselves off as you and set up accounts or work in your name, run up huge bills, and leave you to clean up the mess.

Under federal law, you can't be held financially responsible for false charges made in your name, but your credit report might well be wrecked. If this happens, it's important to start cleaning up your record right away.

The first step is to call the fraud departments of the three major credit bureaus (or contact them online) and request that a so-called "fraud alert" be placed on your file: Equifax (www.equifax.com, 800-525-6285), Experian (www.experian.com, 888-397-3742), and TransUnion (www.transunion.com, 800-680-7289).

The alert will stay on your file for at least ninety days and will notify lenders that there's been an identity breach; double-check with your lenders to make sure they're aware of it. You should ask all three credit bureaus for free copies of your credit reports and review them carefully. If you find that fraudulent or inaccurate information has made its way onto any of your reports, you will have to take further action before contacting the agencies to get it removed.

CLOSING YOUR ACCOUNTS

People often ask me whether they can improve their credit scores by closing their credit card accounts once they pay them off. The old advice was that if you keep the card open, potential lenders might think you have too much available credit already. That's no longer the case. Closing one of your accounts could actually hurt your score in the short term. Here's why. Lenders like to see that you're only using a small percentage of your potential credit (called your